

Prepared for:

CITY OF SAN MATEO



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2021

By:

URBAN FUTURES, INC.

Analytics & Compliance Group



Affected Issuance:

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

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INTRODUCTION

I. BACKGROUND

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014, the City of San Mateo issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A ("2014A Bonds"). Proceeds from the sale of the 2014A Bonds were used to: (a) refund the City's outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City's municipal sewer enterprise; and (c) pay costs of issuance of the 2014A Bonds. Please see the Official Statement for the 2014A Bonds as provided online at Municipal Securities Rulemaking Board's ("MSRB") Electronic Municipal Market Access ("EMMA") repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture for the 2014A Bonds.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015, with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Continuing Disclosure Annual Report ("Annual Report") is being provided by the Dissemination Agent for distribution to the MSRB's EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or Urban Futures, Inc. The City and Urban Futures, Inc. make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or Urban Futures, Inc., and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and Urban Futures, Inc. shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or Urban Futures, Inc.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the Fiscal Year ended June 30, 2021 will be posted to the EMMA document repository upon availability.

II. PRINCIPAL OUTSTANDING

The table below presents a summary of the Sewer Enterprise's principal amounts outstanding, as of June 30, 2021, for the bonds covered in this Annual Report and any parity obligations. For a detailed description of the Sewer Enterprise's bonds and parity obligations, please see the Notes to Basic Financial Statements "Note 6 – Long-Term Liabilities" starting on page 90 of the City's Annual Comprehensive Financial Report for the Fiscal Year Ended June 30, 2021.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds Outstanding as of June 30, 2021	
Bond Issue	Amount Outstanding as of June 30, 2021
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$19,700,000
\$32,255,000 Sewer Revenue Bonds 2014 Series A	\$29,210,000
\$236,180,000 2019 Wastewater Revenue Bonds (Clean Water Program)	\$236,180,000

Source: City of San Mateo, Annual Comprehensive Financial Report

III. RESERVE FUND

The table below presents the balance in the Sewer Enterprise Reserve Fund, as of June 30, 2021, for the bonds covered in this Annual Report and any parity obligations.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2021
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$1,143,852
\$32,255,000 Sewer Revenue Bonds 2014 Series A	No Reserve
\$236,180,000 2019 Wastewater Revenue Bonds (Clean Water Program)	No Reserve

Source: City of San Mateo

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners average flow and number of accounts during Fiscal Year 2021.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2021		
	Average Daily Flow (mgd) ⁽¹⁾	Customer Accounts/Parcels ⁽²⁾
San Mateo	9.4	28,899
Foster City	2.1	7,061
CSCSD	0.2	1,429
Belmont ⁽³⁾	-	139
Hillsborough	0.8	2,205
Unincorporated County ⁽⁴⁾	-	-
	12.5	39,733

(1) Represents Fiscal Year 2021 Average Daily Flow amounts for San Mateo, Foster City, CSCSD, Belmont, and Unincorporated County.

Represents Fiscal Year 2021 Average Daily Flow amounts for Hillsborough.

(2) Represents the total number of parcels served by the System for San Mateo, and the total number of customer accounts served by the System for Foster City, CSCSD, Belmont, Hillsborough, and Unincorporated

(3) Insignificant average daily flow.

(4) Insignificant

Source: City of San Mateo

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2021.

CITY OF SAN MATEO Sewer Enterprise Largest Users - Fiscal Year 2021				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
Essex Hillsdale Garden Apartments	47,743	1.86%	\$929,649	1.46%
Hsc Holdings	14,829	0.58%	660,581	1.04%
County Of San Mateo	26,003	1.01%	594,334	0.93%
Hospitality Investment LLC Lessee	17,214	0.67%	532,474	0.84%
Asn Bay Meadows I LLC & Bay Meadows II LLC	15,401	0.60%	530,588	0.83%
Aimco Scotchollow Apartments LP	11,827	0.46%	402,195	0.63%
SI VII LLC	10,952	0.43%	360,684	0.57%
Spieker Richard Tod Tr & Spieker Catherine Reilly Tr	12,960	0.50%	354,323	0.56%
Sutter Bay Hospitals	13,914	0.54%	343,542	0.54%
Essex Protfolio LP	10,788	0.42%	314,906	0.49%
Largest Users Total	181,632	7.07%	\$5,023,276	7.90%
Total	2,569,440	100.00%	\$63,625,271	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION

The table below presents a five-year historical summary of the Sewer Enterprise's statement of annual revenues, expenses, and changes in fund net position.

CITY OF SAN MATEO Sewer Enterprise Statement of Revenues, Expenses and Changes in Fund Net Position					
	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Operating Revenues:					
Charges for Service	\$31,353,084	\$41,289,164	\$51,296,306	\$58,190,132	\$67,358,675
Connection fees	243,297	184,830	420,362	301,556	603,615
Impact fees	193,656	250,523	256,453	235,364	205,188
Other	-	13,031	4,321	14,715	1,375
Total operating revenues	\$31,790,037	\$41,737,548	\$51,977,442	\$58,741,767	\$68,168,853
Operating Expenses:					
Cost of Sales and Services	\$19,168,030	\$19,347,405	\$20,804,894	\$19,928,516	\$21,032,300
Administration	2,251,034	2,522,561	2,541,848	2,899,304	3,229,417
Depreciation and amortization	3,641,368	4,147,292	3,987,640	3,086,619	5,197,028
Total operating expenses	\$25,060,432	\$26,017,258	\$27,334,382	\$25,914,439	\$29,458,745
Operating Income (Loss)	\$6,729,605	\$15,720,290	\$24,643,060	\$32,827,328	\$38,710,108
Nonoperating Revenues (Expenses):					
Interest income	\$141,945	\$189,435	\$1,379,769	\$5,845,282	\$851,242
Gain (loss) on sale of capital assets	-	-	4,480	-	-\$22,292
Interest expense and fiscal charges	-2,590,463	-2,523,881	-3,645,142	-13,244,601	-11,510,526
Total nonoperating revenues (expenses)	-\$2,448,518	-\$2,334,446	-\$2,260,893	-\$7,399,319	-\$10,681,576
Income (Loss) Before Contributions and Transfers	\$4,281,087	\$13,385,844	\$22,382,167	\$25,428,009	\$28,028,532
Contributions	\$4,559,627	\$2,628,892	\$1,231,712	\$7,290,894	\$5,726,161
Transfers in	-	75,000.00	-	-	-
Total contributions and transfers	\$4,559,627	\$2,703,892	\$1,231,712	\$7,290,894	\$5,726,161
Change in Net Position	\$8,840,714	\$16,089,736	\$23,613,879	\$32,718,903	\$33,754,693
Net Position					
Beginning of Year	\$115,771,170	\$122,944,951	\$139,034,678	\$161,638,187	\$194,357,090
End of Year	\$124,611,884	\$139,034,687	\$162,648,557	\$194,357,090	\$228,111,783

Source: City of San Mateo, Annual Comprehensive Financial Report

VII. DEBT SERVICE COVERAGE

The table below presents a five-year historical summary of the Sewer Enterprise's annual net revenues, expenses, and debt service coverage ratios.

CITY OF SAN MATEO Sewer Enterprise Historical Revenues, Expenses and Debt Service Coverage					
	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Revenues					
Service Charges	\$31,353,084	\$41,289,164	\$51,296,306	\$58,190,132	\$67,358,675
Connection Fees	243,297	184,830	420,362	301,556	603,615
Impact Fees	193,656	250,523	256,453	235,364	205,188
Other	-	13,031	4,321	14,715	1,375
Subtotal	\$31,790,037	\$41,737,548	\$51,977,442	\$58,741,767	\$68,168,853
Interest Income	141,945	189,435	1,379,769	5,845,282	851,242
Miscellaneous	-	-	4,480	-	1,375
Total Revenues	\$31,931,982	\$41,926,983	\$53,361,691	\$64,587,049	\$69,021,470
Expenses					
Cost of Sales and Services	\$19,168,030	\$19,347,405	\$20,804,894	\$19,928,516	\$21,032,300
Administration	2,251,034	2,522,561	2,541,848	2,899,304	3,229,417
Total	\$21,419,064	\$21,869,966	\$23,346,742	\$22,827,820	\$24,261,717
Net Revenues	\$10,512,918	\$20,057,017	\$30,014,949	\$41,759,229	\$44,759,753
Debt Service					
Series 2011A	\$2,686,433	\$2,682,408	\$1,688,808	\$1,688,708	\$1,684,283
Series 2014A	1,344,365	1,344,365	2,294,965	2,290,315	2,293,440
State Street Line of Credit	359,943	364,226	659,320	-	-
Series 2019 Financing Agreement	-	-	-	7,206,940	10,947,250
2021 WIFIA Loan - WWTP ⁽¹⁾	-	-	-	-	-
2021 WIFIA Loan - Basins 2 & 3 ⁽¹⁾	-	-	-	-	-
Total Debt Service	\$4,390,741	\$4,390,999	\$4,643,093	\$11,185,963	\$14,924,973
Debt Service Coverage	2.39	4.57	6.46	3.73	3.00
Net Surplus	\$6,122,177	\$15,666,018	\$25,371,856	\$30,573,266	\$29,834,780

(1) As of June 30, 2021, no amounts have been drawn down from the WIFIA loans. The City expects to draw down the entire amount of the WIFIA loans in or around August 1, 2025 for the purpose of repaying the City's obligations under the 2021 Wastewater Revenue Notes, Series B issued by the Authority on July 1, 2021.

Source: Urban Futures Inc., with information from the City of San Mateo, Annual Comprehensive Financial Report

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2021, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2021, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>